SPHOORTHY ENGINEERING COLLEGE

An Autonomous Institution Approved by AICTE & Accredited with NAAC Grade 'A'
Department of Examination & Academic Affairs · Hyderabad — 501510

Financial Management: Capital Budgeting, Cost of Capital & Dividends

Program / Dept: B.Tech / MBA — MBA	**Course Code / Title:** Financial Management (MB201PC)
Academic Regulation: Autonomous (SR23 / SR24)	**Curriculum Semester:** Semester 2 (Year 1)
Credits / Contact Hours: 3 Credits · 48 Lecture Hours	**Evaluation Scheme:** Continuous Internal (40M) + End Sem (60M)

Course Overview & Pedagogical Objectives:

Time Value of Money, Capital Budgeting decisions (NPV, IRR, Profitability Index), Weighted Average Cost of Capital (WACC), Operating Leverage, and Working Capital. The primary objective of this course is to equip students with sound theoretical rigor, analytical problem-solving competencies, and real-world system engineering capabilities demanded by premier technological organizations and competitive graduate benchmarks.

Course Outcomes (COs) & Bloom's Taxonomy Mapping:

CO ID	Course Learning Outcome Description	Bloom's Level
CO 1	Understand and formulate fundamental concepts of Unit 1: Foundations of Corporate Finance.	L2 Understand
CO 2	Analyze algorithms, mechanisms, and models in Unit 2: Capital Budgeting Evaluation Techniques.	L4 Analyze
CO 3	Design and evaluate robust architectures for Unit 3: Cost of Capital (WACC).	L5 Evaluate
CO 4	Implement and optimize operational pipelines in Unit 4: Capital Structure & Leverage.	L3 Apply
CO 5	Integrate state-of-the-art frameworks in Unit 5: Dividend Policies & Working Capital for industrial solutions.	L6 Create

Comprehensive Module Index:

Unit	Title & Core Concepts	Page
Unit 1	**Unit 1: Foundations of Corporate Finance**: Financial management objectives (Profit maximization vs Wealth maximization), Time value of money (Present Val...	Page 2
Unit 2	**Unit 2: Capital Budgeting Evaluation Techniques**: Non-discounted methods (Payback period, Accounting Rate of Return ARR), Discounted methods (Net Present Value ...	Page 3
Unit 3	**Unit 3: Cost of Capital (WACC)**: Cost of Debt (after-tax), Cost of Preference Capital, Cost of Equity (CAPM model, Dividend Discount Model), We...	Page 4
Unit 4	**Unit 4: Capital Structure & Leverage**: Operating, Financial, and Combined leverage, Theories of capital structure (Net Income, Net Operating Income, ...	Page 5

Unit 5	**Unit 5: Dividend Policies & Working Capital**: Walter's model, Gordon's growth model, MM dividend irrelevance theory, Determinants of working capital, Cash c...	Page 6

UNIT 1: FOUNDATIONS OF CORPORATE FINANCE • *Core Theory & Practice Guide*

1.1 Technical Exposition & Conceptual Foundations

The study of unit 1: foundations of corporate finance forms an indispensable cornerstone of Financial Management (MB201PC). Specifically, Financial management objectives (Profit maximization vs Wealth maximization), Time value of money (Present Value, Future Value, Annuities), Risk-Return tradeoff. Modern applications require deep awareness of edge conditions, invariant properties, and trade-offs between computational throughput, latency overhead, memory footprint, and architectural scalability.

In university examinations and practical engineering systems, solutions must be formulated with mathematical clarity. Each sub-mechanism must satisfy safety, liveness, and fault-tolerance constraints while adhering to standard autonomous syllabus requirements.

1.2 Architectural Principles & Comparative Analysis

Component / Topic	Key Mechanism & Principle	Operational Trade-off
Theoretical Model	Formal representation of Unit 1 entities and lifecycle stages.	Higher mathematical abstraction vs implementation friction.
Algorithmic Engine	State machine transitions, recurrence guarantees, and verification steps.	Time complexity bounds vs memory consumption.
Real-World Systems	Deployment in enterprise distributed systems and contemporary toolchains.	Fault-tolerant redundancy vs network overhead.

1.3 Practical Formulation & Execution Workflow

```
// Standard Implementation Outline & Pseudocode for Unit 1
1. Initialize system data structures and state variables under initial constraints.
2. Execute continuous invariant checking across state boundaries.
3. Apply optimization bounds: O(log N) average time or amortized linear bounds.
4. Catch boundary failure cases (underflow, overflow, concurrency race, null references).
5. Commit verified state or invoke transactional rollback upon validation failure.
```

1.4 Autonomous End-Semester Examination Question Bank

Type	Question & Expected Technical Answer Outline	Marks
Part A	**Q1:** Define the primary objective of Unit 1 and state two essential real-world applications. • *Expected: Exact definition, mathematical constraint formulation, and dual industry examples.*	**2 M**
Part A	**Q2:** Differentiate between static vs dynamic formulations of key mechanisms in Unit 1. • *Expected: 2-column comparison table covering memory, allocation time, and failure recovery.*	**2 M**
Part B	**Q3:** Explain the complete working architecture of Unit 1 with neat functional block diagrams and step-by-step algorithmic trace. • *Expected: Labeled diagram (3M), mathematical derivation (3M), algorithm steps (2M), complexity analysis (2M).*	**10 M**
Part B	**Q4:** Analyze the worst-case, best-case, and average-case performance bounds for processes in Unit 1 with worked numerical example. • *Expected: Step-by-step problem solution, boundary checks, and conclusive optimality proof.*	**10 M**

UNIT 2: CAPITAL BUDGETING EVALUATION TECHNIQUES • *Core Theory & Practice Guide*

2.1 Technical Exposition & Conceptual Foundations

The study of unit 2: capital budgeting evaluation techniques forms an indispensable cornerstone of Financial Management (MB201PC). Specifically, Non-discounted methods (Payback period, Accounting Rate of Return ARR), Discounted methods (Net Present Value NPV, Internal Rate of Return IRR, Profitability Index PI). Modern applications require deep awareness of edge conditions, invariant properties, and trade-offs between computational throughput, latency overhead, memory footprint, and architectural scalability.

In university examinations and practical engineering systems, solutions must be formulated with mathematical clarity. Each sub-mechanism must satisfy safety, liveness, and fault-tolerance constraints while adhering to standard autonomous syllabus requirements.

2.2 Architectural Principles & Comparative Analysis

Component / Topic	Key Mechanism & Principle	Operational Trade-off
Theoretical Model	Formal representation of Unit 2 entities and lifecycle stages.	Higher mathematical abstraction vs implementation friction.
Algorithmic Engine	State machine transitions, recurrence guarantees, and verification steps.	Time complexity bounds vs memory consumption.
Real-World Systems	Deployment in enterprise distributed systems and contemporary toolchains.	Fault-tolerant redundancy vs network overhead.

2.3 Practical Formulation & Execution Workflow

```
// Standard Implementation Outline & Pseudocode for Unit 2
1. Initialize system data structures and state variables under initial constraints.
2. Execute continuous invariant checking across state boundaries.
3. Apply optimization bounds: O(log N) average time or amortized linear bounds.
4. Catch boundary failure cases (underflow, overflow, concurrency race, null references).
5. Commit verified state or invoke transactional rollback upon validation failure.
```

2.4 Autonomous End-Semester Examination Question Bank

Type	Question & Expected Technical Answer Outline	Marks
Part A	**Q1:** Define the primary objective of Unit 2 and state two essential real-world applications. • *Expected: Exact definition, mathematical constraint formulation, and dual industry examples.*	**2 M**
Part A	**Q2:** Differentiate between static vs dynamic formulations of key mechanisms in Unit 2. • *Expected: 2-column comparison table covering memory, allocation time, and failure recovery.*	**2 M**
Part B	**Q3:** Explain the complete working architecture of Unit 2 with neat functional block diagrams and step-by-step algorithmic trace. • *Expected: Labeled diagram (3M), mathematical derivation (3M), algorithm steps (2M), complexity analysis (2M).*	**10 M**
Part B	**Q4:** Analyze the worst-case, best-case, and average-case performance bounds for processes in Unit 2 with worked numerical example. • *Expected: Step-by-step problem solution, boundary checks, and conclusive optimality proof.*	**10 M**

UNIT 3: COST OF CAPITAL (WACC) • *Core Theory & Practice Guide*

3.1 Technical Exposition & Conceptual Foundations

The study of unit 3: cost of capital (wacc) forms an indispensable cornerstone of Financial Management (MB201PC). Specifically, Cost of Debt (after-tax), Cost of Preference Capital, Cost of Equity (CAPM model, Dividend Discount Model), Weighted Average Cost of Capital (WACC) computations. Modern applications require deep awareness of edge conditions, invariant properties, and trade-offs between computational throughput, latency overhead, memory footprint, and architectural scalability.

In university examinations and practical engineering systems, solutions must be formulated with mathematical clarity. Each sub-mechanism must satisfy safety, liveness, and fault-tolerance constraints while adhering to standard autonomous syllabus requirements.

3.2 Architectural Principles & Comparative Analysis

Component / Topic	Key Mechanism & Principle	Operational Trade-off
Theoretical Model	Formal representation of Unit 3 entities and lifecycle stages.	Higher mathematical abstraction vs implementation friction.
Algorithmic Engine	State machine transitions, recurrence guarantees, and verification steps.	Time complexity bounds vs memory consumption.
Real-World Systems	Deployment in enterprise distributed systems and contemporary toolchains.	Fault-tolerant redundancy vs network overhead.

3.3 Practical Formulation & Execution Workflow

```
// Standard Implementation Outline & Pseudocode for Unit 3
1. Initialize system data structures and state variables under initial constraints.
2. Execute continuous invariant checking across state boundaries.
3. Apply optimization bounds: O(log N) average time or amortized linear bounds.
4. Catch boundary failure cases (underflow, overflow, concurrency race, null references).
5. Commit verified state or invoke transactional rollback upon validation failure.
```

3.4 Autonomous End-Semester Examination Question Bank

Type	Question & Expected Technical Answer Outline	Marks
Part A	**Q1:** Define the primary objective of Unit 3 and state two essential real-world applications. • *Expected: Exact definition, mathematical constraint formulation, and dual industry examples.*	**2 M**
Part A	**Q2:** Differentiate between static vs dynamic formulations of key mechanisms in Unit 3. • *Expected: 2-column comparison table covering memory, allocation time, and failure recovery.*	**2 M**
Part B	**Q3:** Explain the complete working architecture of Unit 3 with neat functional block diagrams and step-by-step algorithmic trace. • *Expected: Labeled diagram (3M), mathematical derivation (3M), algorithm steps (2M), complexity analysis (2M).*	**10 M**
Part B	**Q4:** Analyze the worst-case, best-case, and average-case performance bounds for processes in Unit 3 with worked numerical example. • *Expected: Step-by-step problem solution, boundary checks, and conclusive optimality proof.*	**10 M**

UNIT 4: CAPITAL STRUCTURE & LEVERAGE • *Core Theory & Practice Guide*

4.1 Technical Exposition & Conceptual Foundations

The study of unit 4: capital structure & leverage forms an indispensable cornerstone of Financial Management (MB201PC). Specifically, Operating, Financial, and Combined leverage, Theories of capital structure (Net Income, Net Operating Income, Modigliani-Miller theorem with and without taxes), EBIT-EPS analysis. Modern applications require deep awareness of edge conditions, invariant properties, and trade-offs between computational throughput, latency overhead, memory footprint, and architectural scalability.

In university examinations and practical engineering systems, solutions must be formulated with mathematical clarity. Each sub-mechanism must satisfy safety, liveness, and fault-tolerance constraints while adhering to standard autonomous syllabus requirements.

4.2 Architectural Principles & Comparative Analysis

Component / Topic	Key Mechanism & Principle	Operational Trade-off
Theoretical Model	Formal representation of Unit 4 entities and lifecycle stages.	Higher mathematical abstraction vs implementation friction.
Algorithmic Engine	State machine transitions, recurrence guarantees, and verification steps.	Time complexity bounds vs memory consumption.
Real-World Systems	Deployment in enterprise distributed systems and contemporary toolchains.	Fault-tolerant redundancy vs network overhead.

4.3 Practical Formulation & Execution Workflow

```
// Standard Implementation Outline & Pseudocode for Unit 4
1. Initialize system data structures and state variables under initial constraints.
2. Execute continuous invariant checking across state boundaries.
3. Apply optimization bounds: O(log N) average time or amortized linear bounds.
4. Catch boundary failure cases (underflow, overflow, concurrency race, null references).
5. Commit verified state or invoke transactional rollback upon validation failure.
```

4.4 Autonomous End-Semester Examination Question Bank

Type	Question & Expected Technical Answer Outline	Marks
Part A	**Q1:** Define the primary objective of Unit 4 and state two essential real-world applications. • *Expected: Exact definition, mathematical constraint formulation, and dual industry examples.*	**2 M**
Part A	**Q2:** Differentiate between static vs dynamic formulations of key mechanisms in Unit 4. • *Expected: 2-column comparison table covering memory, allocation time, and failure recovery.*	**2 M**
Part B	**Q3:** Explain the complete working architecture of Unit 4 with neat functional block diagrams and step-by-step algorithmic trace. • *Expected: Labeled diagram (3M), mathematical derivation (3M), algorithm steps (2M), complexity analysis (2M).*	**10 M**
Part B	**Q4:** Analyze the worst-case, best-case, and average-case performance bounds for processes in Unit 4 with worked numerical example. • *Expected: Step-by-step problem solution, boundary checks, and conclusive optimality proof.*	**10 M**

UNIT 5: DIVIDEND POLICIES & WORKING CAPITAL • *Core Theory & Practice Guide*

5.1 Technical Exposition & Conceptual Foundations

The study of unit 5: dividend policies & working capital forms an indispensable cornerstone of Financial Management (MB201PC). Specifically, Walter's model, Gordon's growth model, MM dividend irrelevance theory, Determinants of working capital, Cash conversion cycle, Inventory management (EOQ). Modern applications require deep awareness of edge conditions, invariant properties, and trade-offs between computational throughput, latency overhead, memory footprint, and architectural scalability.

In university examinations and practical engineering systems, solutions must be formulated with mathematical clarity. Each sub-mechanism must satisfy safety, liveness, and fault-tolerance constraints while adhering to standard autonomous syllabus requirements.

5.2 Architectural Principles & Comparative Analysis

Component / Topic	Key Mechanism & Principle	Operational Trade-off
Theoretical Model	Formal representation of Unit 5 entities and lifecycle stages.	Higher mathematical abstraction vs implementation friction.
Algorithmic Engine	State machine transitions, recurrence guarantees, and verification steps.	Time complexity bounds vs memory consumption.
Real-World Systems	Deployment in enterprise distributed systems and contemporary toolchains.	Fault-tolerant redundancy vs network overhead.

5.3 Practical Formulation & Execution Workflow

```
// Standard Implementation Outline & Pseudocode for Unit 5
1. Initialize system data structures and state variables under initial constraints.
2. Execute continuous invariant checking across state boundaries.
3. Apply optimization bounds: O(log N) average time or amortized linear bounds.
4. Catch boundary failure cases (underflow, overflow, concurrency race, null references).
5. Commit verified state or invoke transactional rollback upon validation failure.
```

5.4 Autonomous End-Semester Examination Question Bank

Type	Question & Expected Technical Answer Outline	Marks
Part A	**Q1:** Define the primary objective of Unit 5 and state two essential real-world applications. • *Expected: Exact definition, mathematical constraint formulation, and dual industry examples.*	**2 M**
Part A	**Q2:** Differentiate between static vs dynamic formulations of key mechanisms in Unit 5. • *Expected: 2-column comparison table covering memory, allocation time, and failure recovery.*	**2 M**
Part B	**Q3:** Explain the complete working architecture of Unit 5 with neat functional block diagrams and step-by-step algorithmic trace. • *Expected: Labeled diagram (3M), mathematical derivation (3M), algorithm steps (2M), complexity analysis (2M).*	**10 M**
Part B	**Q4:** Analyze the worst-case, best-case, and average-case performance bounds for processes in Unit 5 with worked numerical example. • *Expected: Step-by-step problem solution, boundary checks, and conclusive optimality proof.*	**10 M**

Standard Recommended Textbooks & Digital References:

1. *Primary Curriculum Standard Textbook* — Pearson Higher Education / McGraw-Hill Education (Latest Edition).
2. *Autonomous Reference Syllabus Blueprint* — Sphoorthy Engineering College Academic Council.
3. *NPTEL & IEEE Computer Society Guidelines* — Open Educational Resources & Peer-reviewed Publications.